

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$121.48 ▼ 0.99%	12M Price Target \$140.00	52-Week Range \$63.52 – \$153.86	Market Cap \$109.23B
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HOOD: Crypto Momentum Meets Prediction Markets Land Grab

WHAT HAPPENED

- HOOD is down about 1% today, dragged alongside Webull (-6%) and Interactive Brokers (-2%) — this looks like sector-wide profit-taking in retail broker names, not a HOOD-specific problem. Webull had insider selling headlines that spread bad vibes across the group.
- The Ethereum/Arbitrum rally story is actually a positive undercurrent — Robinhood Chain (their Layer 2 blockchain built on Arbitrum) is being credited for pushing ARB up 135% in a month. That's real validation of their crypto infrastructure bet.

WHY IT MATTERS

The pullback here is noise — the real story is that HOOD is quietly becoming a crypto infrastructure company, not just a broker. If Robinhood Chain is moving Arbitrum's price, that means real transaction volume is flowing through their rails, which eventually shows up as revenue. Meanwhile, the Kalshi/prediction markets news matters because HOOD launched sports event contracts too — if federal regulators (CFPB, CFTC) side with prediction markets over state gambling regulators, HOOD gets a brand-new revenue line with almost no incremental cost. Options flow is telling: a 0.67 put/call ratio with unusual call buying at \$123 says smart money is treating this dip as a buying opportunity, not a top.

POLICY & POLITICAL WATCH

The big one is the CLARITY Act and broader crypto market structure legislation working through Congress — if it passes, it formally hands crypto oversight to the CFTC (friendlier) instead of the SEC (hostile), which is a massive tailwind for HOOD's crypto business (roughly a third of transaction revenue). Separately, the prediction markets fight is heating up: former CFPB officials are publicly saying Kalshi's sports contracts undermine states trying to block them — meaning federal preemption is winning, which directly helps HOOD's event contracts business. Watch also for any SEC rulemaking on payment for order flow (PFOF) — that's how HOOD gets paid on stock trades, and Gensler-era threats have faded under the current administration, which is a quiet but huge positive.

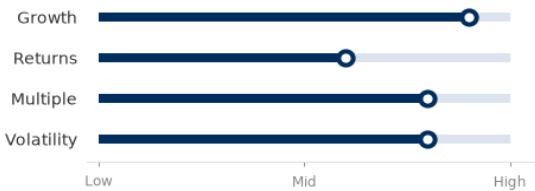
IS IT EXPENSIVE?

At \$121, HOOD trades around 26x forward revenue and roughly 65x forward earnings — that's expensive by any traditional measure, meaning investors are paying \$65 for every \$1 the company is expected to earn next year. But the growth rate justifies a lot of it: revenue is growing 40%+ and they've flipped to solid profitability. Compared to Schwab at ~18x earnings, HOOD is priced like a tech company, not a broker — that's the bet you're making.

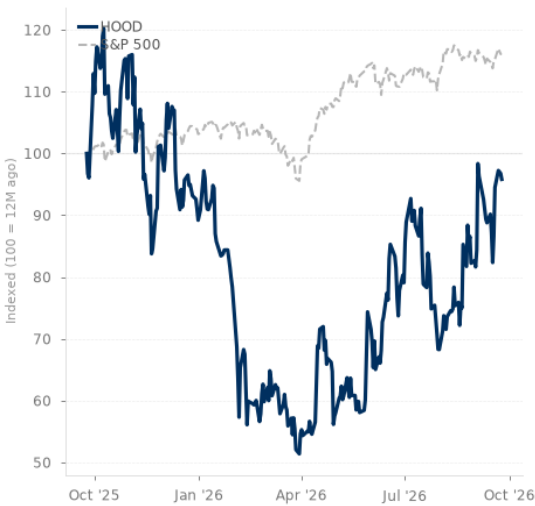
Key Data

Price (USD)	\$121.48
12M Price Target	\$140.00
Upside / (Downside)	+15.2%
Market Cap	\$109.23B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,350M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.60
Fwd P/E	65.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$125.00	\$110.00
6 Months	\$160.00	\$135.00	\$95.00
1 Year	\$185.00	\$140.00	\$85.00
2 Years	\$240.00	\$170.00	\$75.00
5 Years	\$400.00	\$250.00	\$60.00
10 Years	\$700.00	\$380.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Communications Services (+1.25%) and anything AI-adjacent — money likes growth again. Crypto infrastructure names are quietly ripping as regulatory clarity approaches.

COOLING OFF: Financials (-0.18% today, -2.23% on the week) — traditional banks are getting hit on rate-cut fears squeezing net interest margins. That's spilling over to brokers like HOOD unfairly.

ROTATION WATCH: Money is rotating from old-school financials into fintech/crypto-exposed names because the regulatory pendulum has clearly swung friendlier under the current administration — HOOD sits perfectly at that intersection.

RELATED PLAY: If HOOD's crypto business keeps humming, look at Coinbase (COIN) as the pure-play, and Arbitrum (ARB) itself given the Robinhood Chain volume flywheel. CME could benefit if prediction markets go mainstream.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto regulatory tailwind, benefiting from institutional adoption catalysts.
- IBKR (Interactive Brokers): Best-in-class broker economics, though also dipping today with the group.

HOOD CONTEXT: HOOD sits at 64% of its 52-week range — not overextended, not cheap. It's been leading the broker peer group all year because of its crypto and product velocity, but is trading in line with peers today on shared sector weakness. That's healthy consolidation, not a top.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup a lot but the valuation and crypto dependency keep me from pounding the table.

POSITION SIZE: 2-4% of portfolio — real upside but the stock can swing 10%+ on any given week, so don't oversize.

ENTRY POINTS: Add on pullbacks to \$110-118 (roughly the 50-day area). If we get a broad market flush to \$95-100, back up the truck.

TIME HORIZON: 12-24 months. Key catalysts: crypto market structure bill passage, prediction markets federal ruling, and continued product launches (banking, tokenized stocks).

WHEN TO BAIL: If crypto transaction revenue drops 40%+ two quarters in a row, if Congress punts on the CLARITY Act, or if courts rule prediction markets are illegal gambling — any of those breaks the thesis.

HEDGING: Simplest hedge is pairing HOOD with a traditional broker like SCHW — if crypto tanks, SCHW usually holds up better. Or buy cheap out-of-the-money puts as insurance if you want to sleep at night through crypto drawdowns.